



한국디스플레이산업협회 Korea Display Industry Association

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May 7, 2025

The Honorable Howard W. Lutnick
Secretary of Commerce
1401 Constitution Avenue, N.W.
Washington, DC 20230

Re: Notice of Request for Public Comments on Section 232 National Security Investigation
of Imports of Semiconductors and Semiconductor Manufacturing Equipment
[BIS-2025-0021]

Dear Secretary Lutnick:

On behalf of the member companies of the Korea Display Industry Association (“KDIA”), we would like to express our sincere appreciation for the opportunity to present our comments with respect to the Section 232 National Security Investigation of imports of semiconductors and semiconductor manufacturing equipment by the U.S. Department of Commerce Bureau of Industry and Security.

Established in 2007, KDIA is dedicated to advancing the comprehensive development of Korea’s display industry and currently represents over 1,300 Korean companies—including Samsung Display and LG Display—with diverse business interests in global markets, including in the United States.

Imports of Flat Panel Display Modules are Not a Threat to U.S. National Security

Flat panel display modules (HTS 8524) are devices that utilize the flow of electric current to emit light from fine pixels, thereby enabling various display functions. Flat panel display modules incorporate semiconductor components to regulate the flow of electric current, resulting in the structural integration of some semiconductor elements. However, the portion of semiconductors typically account for less than 20% of the overall composition of flat panel display modules, and the manufacturing process of modules is based on legacy node technologies that are clearly distinct from advanced semiconductor processes. Therefore, even if semiconductor processes are partly utilized in the production of flat panel display modules, these modules should not be regarded as “downstream products that contain semiconductors,” nor is there a justified reason to regulate them as semiconductor derivatives

in the Section 232 investigation of semiconductors. Subjecting flat panel display modules to Section 232 measures would also be inconsistent with the objectives underlying the initiation of the Section 232 investigations into semiconductors and semiconductor manufacturing equipment.

Flat panel display modules are primarily used as intermediate components in consumer products such as smartphones, tablets, televisions, and automotive infotainment systems. In particular, OLED flat panel display modules (HTS 8524.12/8524.92) are predominantly supplied for consumer applications. Given these factors, imports of flat panel display modules into the United States only contribute to the welfare of U.S. consumers and do not present a threat to U.S. national security. There is no meaningful connection between flat panel display modules imports and U.S. national security.

Also, the U.S. International Trade Commission's U.S. Trade & Tariff Data clearly indicate that imports of flat panel display modules do not present a national security risk. In 2024, according to such data, U.S. imports of flat panel display modules totaled approximately \$1.7 billion, representing only 0.05% of total U.S. imports. Furthermore, the U.S. imported these modules from 53 countries, reflecting a diversified source of supply—flat panel display imports from Korea accounted for 13% (\$200 million), following China (34%), Japan (24%), and Taiwan (14%). Given the relatively small share of total imports and the diversification of supply sources, there is no reasonable basis to conclude that imports of flat panel display modules adversely affect U.S. national security.

The Korean Flat Panel Display Industry Contribute to the U.S. Supply Chain and Related Industries

Korean flat panel display module manufacturers, including Samsung Display and LG Display, have established long-standing strategic partnerships with both upstream and downstream electronics industries in the United States. Korean display manufacturers remain committed to advancing technology and strengthening collaboration throughout the supply chain, thereby contributing to the growth and resilience of the U.S. electronics sector.

In particular, Korean display manufacturers currently maintain close collaboration with various U.S.-based material, component, and equipment manufacturers, establishing a tightly integrated supply chain between Korea and the United States. U.S. companies, such as Universal Display Corporation, Corning, Dupont, and Applied Materials provide key materials and equipment essential to the production of flat panel display modules, thereby making substantial contributions to the production process.

Products manufactured through the collaboration between the Korean flat panel display

module industry and U.S. upstream industries are subsequently supplied to U.S. downstream finished goods manufacturers. For example, flat panel display modules are supplied to Apple, Dell, HP, and Microsoft, serving as essential screen components in smartphones, tablets, laptops, and display devices.

In addition, Korean display manufacturers have been contributing to enhance the competitiveness of finished products by engaging in technological collaboration with U.S. manufacturers. For example, the screens used in Apple's iPhones and iPads incorporate advanced OLED display technologies. Korean manufacturers are further planning to strengthen such technical collaboration to enable new applications such as foldable iPhones and MacBooks. In the U.S. auto industry, major automakers such as GM, Ford, and Tesla continue to advance digital cluster and infotainment systems, and their collaboration with Korean display manufacturers is also becoming increasingly robust.

The Korean flat panel display industry makes significant contributions to both upstream and downstream sectors of the U.S. electronics industry and serves as a critical pillar of technological and industrial cooperation between the two countries. To further strengthen this strategic partnership, any decision to classify imports of Korean flat panel display modules as a national security threat and subject them to Section 232 measures warrants careful and deliberate consideration.

Negative Impact of Tariff Measures on Flat Panel Display Modules

Imposing tariffs on flat panel display modules would lead to increase input costs for U.S. downstream industries that import these modules to manufacture electronic products. This rise in production costs will eventually be passed on to U.S. consumers, resulting in higher prices for smartphones, tablets, televisions, and other electronic products, ultimately increasing the burden on consumers and resulting in a contraction in demand.

While such tariff measures would pose immediate difficulties for Korean flat panel display module manufacturers, they would also negatively impact the U.S. upstream industry—including companies such as Universal Display Corporation, Corning, Dupont, and Applied Materials—involved in the supply chain, as well as the U.S. downstream industry—including companies such as Apple, GM, Ford, and Tesla—that utilize these modules to manufacture finished products.

Therefore, any decision regarding the imposition of tariffs on flat panel display modules should be made through a comprehensive and measured assessment, taking into account the potential negative ripple effects across related U.S. industries, supply chains, and consumers.

Conclusion

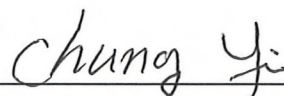
Flat panel display modules, while incorporating certain semiconductor elements—typically less than 20%, are technically and functionally distinct from typical semiconductor products. These display modules are primarily used in civilian-use consumer goods such as smartphones, tablets, televisions, and automotive infotainment systems, directly contributing to U.S. consumer welfare. Accordingly, imports of flat panel display modules manufactured by Korean companies are not a threat to U.S. national security and should be excluded from the scope of any Section 232 measure.

Even if there is a reasonable basis for regulating certain flat display modules used for non-civilian purposes, products that are predominantly supplied for consumer applications, such as OLED flat panel display modules (HTS 8524.12/8524.92), have no relevance to national security concerns and thus should not be subject to Section 232 measures.

Further, as explained above, the Korean flat panel display industry has established a robust supply chain through close cooperation with related U.S. upstream and downstream industries. Imposing tariff measures on flat panel display modules from Korean manufacturers would negatively impact the established supply chain and cooperation framework between the industries of both countries, potentially undermining the competitiveness of related U.S. sectors and burdening U.S. consumers. In light of these considerations, we respectfully request that, should the Department of Commerce decide to recommend any measures including tariffs against imports of flat panel display modules pursuant to the ongoing Section 232 investigation into semiconductor derivatives, imports of Korean flat panel display modules be excluded from the scope of such measures.

Finally, as an ally of the United States for over seven decades, Korea will continue to strengthen partnership and cooperation with the United States. The Korean flat panel display industry will maintain its critical role in the U.S.-related supply chain and remain committed to ongoing cooperation to foster innovation and competitiveness in related U.S. industries. We sincerely hope that the Department of Commerce will give due weight to these considerations as it moves forward with its decision-making.

Respectfully submitted,

A handwritten signature in cursive script, reading "Chung Yi", is written over a horizontal line.

Chung Yi

Chairman

Korea Display Industry Association